

Counsel shall produce a privilege log in compliance with Cal. Code of Civ. Proc. § 2031.240(c)(1).

4. The Court finds that Budget's actions in making meritless objections and in failing to produce a PMK witness after several attempts to meet and confer constitutes misuse of the discovery process pursuant to Cal. Code of Civ. Proc. § 2023.010(e),(f),(h), and (i). Such actions are sanctionable.
5. The Court **grants** Plaintiffs' request for sanctions. Defendant Budget is ordered to pay sanctions in the amount of \$4,500 to Plaintiffs, which the court determines to be reasonable attorney's fees, no later than ten (10) days from the date of service of this order.
6. Plaintiffs' Counsel is ordered to prepare and e-file a proposed order conforming to this ruling, attaching a copy of this tentative ruling to the order no later than ten (10) days from the date of the hearing of this Motion.
7. The Court orders Counsel to meet and confer to resolve, without further hearing, the discovery disputes that are calendared for discovery motions on April 29, 2026 at 9:00 a.m. in Department 16. This Court maintains a judicial philosophy that discovery motions are overused and should be discouraged unless there is no compliance with the discovery statutes. The Court informs Counsel that Cal. Bus. & Prof. Code § 6086.7(a)(3) requires this Court to notify the State Bar of "the imposition of any judicial sanctions against an attorney, except sanctions for failure to make discovery or monetary sanctions of less than one thousand dollars (\$1,000.)" Cal. Bus. & Prof. Code § 6086.7(b) and Rule No. 10.609 also requires the court to notify the attorney involved that the matter has been referred to the State Bar. The Court interpret these rules liberally to mean that if the Court grants a discovery motion and sanctions and fees exceed \$1,000 against an attorney, the Court is required to report counsel to the State Bar. This is consistent with California Rules of Court Rule No. 10-609, Cal. Bus. & Prof. Code § 6086.7 and California Judges Association Formal Ethics Opinion No. 74 the mandatory duty to report the imposition of sanctions to the State Bar, as they exceed \$1,000. (*City of Los Angeles v. PWC LLP* (2024) 17 Cal.5th 46, 50). The Court will reserve its authority to appoint a Discovery Referee to hear the motions scheduled for April 29, 2026 if the Parties have not resolved the disputes prior to the hearing of these motions.

12. 9:00 AM CASE NUMBER: C25-00443
CASE NAME: MARIA MARTINEZ VS. SELENE FINANCE LP
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: SELENE FINANCE LP

TENTATIVE RULING:

Introduction

Before the Court is Defendant SELENE FINANCE, L.P. ("Selene") and US BANK TRUST NATIONAL ASSOCIATION NOT IN ITS INDIVIDUAL CAPACITY BUT SOLELY AS OWNER TRUSTEE FOR LEGACY MORTGAGE ASSOCIATION ASSET TRUST 2021-GS2 ("USBT")(collectively "Defendants") Demurrer. The Demurrer relates to Plaintiffs Maria Martinez's First Amended Complaint (FAC) for six wrongful foreclosure related cause of actions.

For the following reasons, **the Demurrer is overruled as to the 29223.5 and the wrongful foreclosure claim and sustained as to the remaining claims with leave to amend.**

Meet and Confer Requirement

Defendant satisfied their meet and confer requirement regarding their Demurrer in detailing their

meet and confer efforts with Plaintiff's counsel in the Declaration of Thomas Van. On April 25, 2025, the Defendant's counsel initially reached out to Plaintiff's counsel and both parties met and conferred by phone on May 2, 2025 and could not come to a resolution about the Demurrer. (Decl. of Van at ¶¶ 3-5.)

Request for Judicial Notice

Defendants SELENE FINANCE, L.P. ("Selene") and US BANK TRUST N.A. request the Court take judicial notice of Exhibits 1 through 3, which are recorded land records. Defendants requests are Evidence Code section 452(h) permits courts to take judicial notice of "[f]acts and Accurate determination by resort to sources of indisputable accuracy." "This includes recorded deeds ...or similar document[s]..." (*Poseidon Dev., Inc. v. Woodland Lane Estates, LLC* (2007) 1522 Cal.App.4th 1106, 1117.) The "court may take judicial notice of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, a court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face." (*Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal. App. 4th 256, 265.)

Since all Exhibits are supported by proper authority, judicial notice is granted for Exhibits 1-3.

Statement of Facts

Plaintiff took out a mortgage loan on October 26, 2005 with the original lender Bank of America in the amount of \$100,000 ("Note"). The Note was secured by a Deed of Trust ("DOT") recorded in the Official Records of Contra Costa County as Instrument Number 2005- 0414554-00 (Note and DOT collectively the "Loan"). (Complaint ¶ 10, Exh. A.)

Plaintiff alleges that the DOT was assigned to Federal National Mortgage Association as memorialized by an Assignment of Deed of Trust recorded on June 21, 2016, in the Official Records of Contra Costa County as Instrument Number 2016-0120446-00. (Complaint ¶ 11a, Exh. D.) The DOT was then assigned to Nationstar Mortgage LLC D/B/A Mr. Cooper as memorialized by a Corporate Assignment of Deed of Trust recorded on October 25, 2019, in the Official Records of Contra Costa County as Instrument Number 2019-0183000-00. (Complaint ¶ 11b, Exh. E.) The DOT was then assigned to Goldman Sachs Mortgage Corp as memorialized by a Corporate Assignment of Deed of Trust recorded on March 17, 2021 in the Official Records of Contra Costa County as Instrument Number 2021-0081334. (Complaint ¶ 11c, Exh. F.) The DOT was then assigned to USBT as memorialized by an Assignment of Deed of Trust recorded on January 25, 2023, in the Official Records of Contra Costa County as Instrument Number 2023-0006323. (Complaint ¶ 11d, Exh. G.)

A first Notice of Default was recorded on March 28, 2023, in the Official Records of Contra Costa County as Instrument Number 2023-0028738. (RJN Exh. 1.) Per that notice, Plaintiff was in default in the amount of \$8,682.54 as of March 27, 2023. Plaintiff later reinstated the Loan by paying the full amount in default. Accordingly, a Notice of Rescission of Notice of Default was recorded on June 2, 2023, in the Official Records of Contra Costa County as Instrument Number 2023-0052473. (RJN, Exh. 2.)

A second Notice of Default ("NOD") was recorded on August 16, 2024, in the Official Records of Contra Costa County as Instrument Number 2024-0080133. The NOD states that Plaintiff was in default of \$7,592 as of August 15, 2024. The August 5, 2024, signed Declaration of Compliance states Defendant Selene used due diligence to contact the borrower pursuant to Civ. Code § 2923.55(f) and

more than 30 days had passed thereafter. (Complaint ¶ 12, Exh. B.)

A Notice of Trustee's Sale ("NOTS") was recorded on November 2, 2024, in the Official Records of Contra Costa County as Instrument Number 2024-0126882. The NOTS set the sale date for January 2, 2025.

Plaintiff alleges that she submitted an application for mortgage assistance on or about December 14, 2024. (Complaint ¶¶ 14, 24, 31.) Plaintiff was unable to reinstate the Loan.

A Trustee's Deed Upon Sale ("TDUS") was recorded on March 21, 2025, in the Official Records of Contra Costa County as Instrument Number 2025-0026422. (RJN, Exh. 3.) Pursuant to Civil Code § 2924(m)(a)(1), the Property was purchased by Zhengyu Wang ("Wang"), a Prospective Eligible Owner, and the TDUS includes Wang's Declaration.

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Uncertainty is a well-established ground of demurrer. (*Martin v. Bank of San Jose* (Cal. App. 1929) 98 Cal. App. 390.) The objection of uncertainty does not go to failure to allege sufficient facts but to doubt as to what the pleader means by the facts alleged. (*Brea v. McGlashan* (1934) 3 Cal. App. 2d 454.) A special demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but is directed at the uncertainty existing in the allegations actually made. (*Butler v. Sequeira* (1950) 100 Cal. App. 2d 143.) A Complaint is ambiguous and uncertain where it cannot be ascertained therefrom whether acts complained of were committed by defendants in their individual capacity, or in one of other capacities in which they are alleged to have acted. (*Lapique v. Ruef* (1916) 30 Cal. App. 391.)

Analysis

2923.5

Section 2923.5, subdivision (a)(1)(A) generally provides that a notice of default may not be recorded until one of two alternatives are met: "[e]ither 30 days after initial contact is made . . . or 30 days after satisfying . . . due diligence requirements" The notice of default "shall include a declaration that the mortgage servicer has contacted the borrower" or "has tried with due diligence to contact the borrower as required by this section" (*Id.*, subd. (b).)

Plaintiff in their FAC brings a new allegation that Defendant failed to send any written notifications for any foreclosure alternatives. This allegations goes to the heart of the 2923.5 due diligence requirement which mandates mortgage servicers to attempt to contact a borrower by sending a first-class letter that includes the toll-free telephone number made available by HUD to find a HUD-certified housing counseling agency. (Civ. Code § 2923.5(e)(1)(A).)

The Demurrer is overruled as to the first cause of action for Civil Code 2923.5.

2923.6(c) Dual Tracking

Pursuant to Civil Code § 2923.6(c), “If a borrower submits a complete application for a first lien loan modification offered by, or through, the borrower’s mortgage servicer, a mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent shall not record a notice of default or notice of sale, or conduct a trustee’s sale, while the complete first lien loan modification application is pending. A mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent shall not record a notice of default or notice of sale or conduct a trustee s sale until any of the following occurs:

- (1) The mortgage servicer makes a written determination that the borrower is not eligible for a first lien loan modification, and any appeal period pursuant to subdivision (d) has expired.
- (2) The borrower does not accept an offered first lien loan modification within 14 days of the offer.
- (3) The borrower accepts a written first lien loan modification, but defaults on, or otherwise breaches the borrower s obligations under, the first lien loan modification.”

Plaintiff argues that Defendants violated the statute by failing to provide a written determination to her complete loan modification. (Complaint ¶ 28.)

Defendants point out that the Complaint mentions two loan modifications, one dated 12/14/2024 and one dated 8/14/2024. Plaintiff is unclear as to which modification they are seeking recourse for. This becomes an issue as Defendants point out because Defendants may not be obligated to review dependent on whether the application was submitted for the purpose of delay or of there has been a material change in borrower’s financial circumstances. (See Civil Code 2923.6(g).) This point permeates throughout the whole complaint and to each and every cause of action. This was an issue with the original Complaint and Plaintiff has still failed to fix this issue in the FAC. The Court will not grant leave to amend for this issue if it is still present going forward.

The Demurrer is sustained as to the second cause of action for Civil Code 2923.6(c) with leave to amend.

2923.7 Single Point of Contact (SPOC)

When a borrower requests a foreclosure prevention alternative, the mortgage servicer shall promptly establish a single point of contact and provide to the borrower one or more direct means of communication with the single point of contact. (Civil Code 2923.7(a).)

Plaintiff newly alleges Several different representatives would answer the phone and advise the plaintiff or plaintiffs’ agents of different information as if they had no real knowledge of the loan account. (FAC ¶ 39.) Plaintiff further alleges that the violation was material since it prevented Plaintiff of a chance for a successful submission of a complete loan modification application. (FAC ¶ 39.) Thus, Plaintiff has adequately plead a SPOC violation.

However, as discussed above, there is a confusion whether there were two loan modification applications in 8/14/2024 and 12/14/2024 or if there is only one application. There must be a valid loan modification application in order to have a SPOC violation.

The Demurrer is sustained as to the third cause of action for Civil Code 2923.7 with leave to amend.

2924.9

Section 2924.9 provides in relevant part:

(a) Unless a borrower has previously exhausted the first lien loan modification process offered by, or through, his or her mortgage servicer described in Section 2923.6, within five business days after recording a notice of default pursuant to Section 2924, a mortgage servicer that offers one or more foreclosure prevention alternatives shall send a written communication to the borrower that includes all of the following information:

- (1) That the borrower may be evaluated for a foreclosure prevention alternative or, if applicable, foreclosure prevention alternatives.
- (2) Whether an application is required to be submitted by the borrower in order to be considered for a foreclosure prevention alternative.
- (3) The means and process by which a borrower may obtain an application for a foreclosure prevention alternative.

This cause of action is also dependent on which loan modification Plaintiff is referring to in each cause of action (either one dated 12/14/2024 or the one dated 8/14/2024). This becomes an issue as Defendants point out because Defendants may not be obligated to review dependent on whether the application was submitted for the purpose of delay or of there has been a material change in borrower's financial circumstances. (See Civil Code 2923.6(g).)

The Demurrer is sustained as to the fourth cause of action for Civil Code 2924.9 with leave to amend.

2923.6(e)(1)-(2) Loan Modification Application Appeal

Plaintiff's fifth cause of action for violation of Civil Code § 2923.6(e)(1)-(2) ("Section 2923.6(e)") alleges that "Defendants" did not grant Plaintiff "a right to appeal any denial of the RMA, assuming there was a denial which was not received in writing by plaintiff." (Complaint ¶ 44.)

This cause of action is also dependent on which loan modification Plaintiff is referring to in each cause of action (either one dated 12/14/2024 or the one dated 8/14/2024). This becomes an issue as Defendants point out because Defendants may not be obligated to review dependent on whether the application was submitted for the purpose of delay or of there has been a material change in borrower's financial circumstances. (See Civil Code 2923.6(g).)

Business and Professions Code § 17200 et seq.

From the Pleadings, Plaintiffs allegations are all tethered to a to some specific "constitutional, statutory, or regulatory provisions..." (*Scripps Clinic v. Super. Ct.* (2003) 108 Cal. App. 4th 917, 940.) Here, Plaintiff uses their other causes of action to act as pendant claims in which the wrongful conduct requirement can tether or attach to. Since Plaintiff's 29253.5 cause of action has survived Demurrer, this cause of action must be overruled.

Wrongful Foreclosure

The basic elements of a wrongful foreclosure cause of action are that: "(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale

in a mortgage or deed of trust; (2) the party attacking the sale . . . was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (*Miles v. Deutsche Bank Nat'l Tr. Co.* (2015) 236 Cal. App. 4th 394, 408.)

Courts have applied equitable exceptions to the tender rule, such as: “(1) where the borrower's action attacks the validity of the underlying debt, tender is not required since it would constitute affirmation of the debt; (2) when the person who seeks to set aside the trustee's sale has a counter-claim or set-off against the beneficiary, the tender and the counter-claim offset each other and if the offset is greater than or equal to the amount due, tender is not required; (3) a tender may not be required if it would be ‘inequitable’ to impose such a condition on the party challenging the sale; ... (4) tender is not required where the trustor's attack is based not on principles of equity but on the basis that the trustee's deed is void on its face (such as where the original trustee had been substituted out before the sale occurred)[;] [(5)] when the loan was made in violation of substantive law, or in breach of the loan agreement or an agreement to modify the loan[;] [and (6)] when the borrower is not in default and there is no basis for the foreclosure” (*Turner v. Seterus, Inc.* (2018) 27 Cal.App.5th 516, 525-526; quoting 5 Miller & Starr, Cal. Real Estate (4th ed. 2017) § 13:256, pp. 13-1101 to 13-1102, fns. omitted.)

Here, Plaintiff alleges that the Subject Property was wrongfully foreclosed based upon the violations of the CA Homeowner’s Bill of Rights, particularly 2923.5. (FAC ¶¶ 71-79.) Thus, the Demurrer is overruled as to this cause of action.

Conclusion

For the reasons analyzed above, **the Demurrer is overruled as to the 29223.5 and the wrongful foreclosure claim and sustained as to the remaining claims with leave to amend.**

13. 9:00 AM CASE NUMBER: C25-00560
CASE NAME: ILHAM ALHAFNAWI VS. CR CONSTRUCTION
HEARING IN RE: MECHANIC'S LIEN
FILED BY:

TENTATIVE RULING:

Summary:

Plaintiff Ilham Alhafnawi’s Petition to Remove Mechanic’s Lien and for Slander of Title against Defendant CR Construction is **granted**.

Background

On February 27, 2025, Plaintiff Ilham Alhafnawi (“Plaintiff”) brought this Petition to (1) Remove Mechanic’s Lien and for (2) Slander of Title against Defendant CR Construction, Inc., a defunct company, (“Defendant”). Over the ensuing months, service of process was not accomplished in compliance with the code.

On September 24, 2025, the Court issued an order requiring Plaintiff to provide a declaration evidencing that the Petition and Accompanying Papers and Re-Notice of Hearing showing the hearing